ALAB

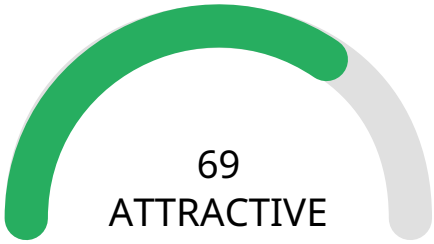
Astera Labs, Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$285.82 [Mkt 17-Oct-26]

Market Cap: $49.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 80

Fabless model with ~75% gross margins, zero debt and 39% net margins. The moat is PCIe/CXL protocol IP and multi-year qualification cycles at hyperscalers. Capped by customer concentration and a short public track record.

2. Recent Trend — 92

Revenue went $396M to $853M to $1.2B TTM. Q2 grew 104.5% YoY with EPS of $0.80 beating consensus by $0.11. Net margins expanded from 26.7% to 39.0% YoY. Textbook acceleration.

3. Forward Growth — 90

Q3 guide of $540-560M is 34% above consensus and implies ~139% YoY growth. Consensus sees FY2026 revenue of $1.89B (+122%). Orion and Aries 7 expand TAM into rack-scale fabric. Guidance-confirmed, not hoped.

4. Valuation — 36

DCF base $134.81 implies 53% downside from $285.82; even the $192.49 bull case sits 33% below spot. Reverse DCF says the market prices a 78% 5-year CAGR, above our 50% bull case, verdict euphoric. Forward P/E of 44.6x is a premium even to high-growth AI peers.

5. Catalysts & Risk — 52

Q3 on Nov 3 is the proving ground for the $540-560M guide; analyst targets average $348 (+22%). But an October downgrade, $127M of insider selling, and a 3.69 beta mean good

news is priced in and bad news re-rates hard. Negative skew.

Investment Thesis

- **AI Connectivity Ramping Hard:** Q2 revenue of $392.4M grew 104.5% YoY, and Q3 guidance of $540-560M is 34% above consensus. PCIe 6 and CXL retimers are shipping into hyperscaler AI racks [8-K guid].
- **Business Quality Is Real:** Fabless model, ~75% gross margins, zero debt, 39% net margins in Q2. The moat is protocol IP and qualification cycles, not silicon scale [10-Q Q2 FY26].
- **Valuation Is the Problem:** DCF base of $134.81 sits 53% below the $285.82 spot; the reverse DCF says the market prices a 78% 5-year CAGR, above our bull case. Great company, wrong price [DCF sheet, Mkt 17-Oct-26].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 FY26)	$392.4M [8-K]	+104.5% [8-K]	Up
Q3 FY26 Revenue Guide	$540-560M [8-K guid]	+139% YoY [8-K guid]	Up
EPS (Q2 FY26)	$0.80 [8-K]	+82% YoY [8-K]	Up
Net Margin (Q2 FY26)	39.0% [10-Q Q2 FY26]	+12.3 pts [10-Q Q2 FY26]	Up
Gross Margin (Q2 FY26)	73.3% [10-Q Q2 FY26]	-2.5 pts [10-Q Q2 FY26]	Flat
FY2026 Consensus Revenue	$1.89B [Cons]	+122% [Cons]	Up
Cash & Debt (FY25)	$167.6M cash, ~$0 debt [10-K FY25]	Debt-free [10-K FY25]	Up

Historical Financial Trend

METRIC	Q2 '25	Q3 '25	Q4 '25	Q1 '26	Q2 '26
Revenue	$191.9M [10-Q Q2 FY25]	$230.6M [10-Q Q3 FY25]	$270.6M [10-Q Q4 FY25]	$308.4M [10-Q Q1 FY26]	$392.4M [10-Q Q2 FY26]
Gross Margin	75.8% [10-Q Q2 FY25]	76.2% [10-Q Q3 FY25]	75.6% [10-Q Q4 FY25]	76.3% [10-Q Q1 FY26]	73.3% [10-Q Q2 FY26]
Net Margin	26.7% [10-Q Q2 FY25]	39.5% [10-Q Q3 FY25]	16.6% [10-Q Q4 FY25]	26.0% [10-Q Q1 FY26]	39.0% [10-Q Q2 FY26]

Valuation

Absolute (2/10)

Fwd P/E (NTM) 44.6x [Mkt 17-Oct-26]
DCF Base $134.81 vs $285.82 spot = -53% downside [DCF sheet]
Implied 5-yr revenue CAGR 78.3% vs bull case 50% [DCF sheet]

The honest math says the market prices near-flawless 78% compounding for five years, above our bull case. Absolute valuation is poor at this price.

Versus Peers (4/8)

MRVL 31x fwd P/E [Mkt 17-Oct-26]
AI semi peers 25-45x [Peers 17-Oct-26]

ALAB at 44.6x forward earnings trades at the top of even high-growth AI networking peers. The 0.21 PEG only works if extreme growth forecasts hold.

Versus History (3/7)

52-wk range $97.89-499.48 [Mkt 17-Oct-26]
Current $285.82 in the middle of that range

Multiples remain near peak-of-cycle levels relative to earnings, with the stock pricing in the bull case and then some.

Catalyst Timeline

Nov 3, 2026 [8-K guid]
Q3 FY26 Earnings (Positive): Guide raised to $540-560M revenue (+139% YoY) vs $410M consensus. The stock must prove the ramp.

Oct 2026 [8-K guid]
Orion Rack-Scale Architecture (Positive):

Top Risk Factors (Item 1A)

1. Priced for Perfection: At $286, the market implies a 78% 5-year revenue CAGR, above our 50% bull case and verdict euphoric. Any guide miss would re-rate the multiple hard. [DCF sheet]

2. Customer Concentration: A handful of hyperscalers drive AI revenue; loss of a design at any major platform would be material to the growth trajectory. [10-K FY25]

> Compute-agnostic inference fabric expands TAM beyond retimers into rack-scale AI networking.

> **Ongoing** [Cons]
> Insider Selling (Two-Sided): 408,558 shares (~$127M) sold by insiders last quarter; heavy at a 140x trailing multiple.

What Would Change Our Score

A Q3 beat-and-raise that validates the $540-560M guide could push the stock toward the $348 consensus target; a miss at this multiple would cut Forward Growth and Trend sharply and validate the euphoric reverse-DCF read.

3. Insider Selling: Insiders sold 408,558 shares (~$127M) last quarter, including a 77% position cut by a director. Not inherently bearish, but heavy at this multiple. [Cons]

Forward Growth Drivers

- Q3 revenue guide $540-560M, up ~139% YoY and 34% above consensus [8-K guid]
- PCIe 6 / CXL retimers and Aries 7 design wins ramping at hyperscalers [8-K guid]
- Orion launch moves Astera from components into rack-scale AI fabric [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used margin trajectory and balance-sheet strength qualitatively.
- Segment-level design-win revenue not broken out; used total revenue trajectory.

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